Practical skills and pricing power in the AI era

WORK & ECONOMY / 01 | AI changes work costs; skills move the physical world

01 | How AI changes work costs

Writing text and documents, organizing data, preliminary analysis and routine clerical work are areas becoming more efficient through AI.
Electrical work, plumbing, air conditioning, equipment maintenance, servicing and construction, however, involve decisions and physical work specific to each site. Even if AI suggests a solution, on-site inspection, repair and restoration remain necessary.

02 | The value of completing work on site

Work’s value is not determined by a simple distinction between “mental” and “on-site” labor. It varies with difficulty of substitution, scarcity of skills, demand and the quality provided.
The ability to use AI and the ability to execute on site: this combination supports the value of work.

On-site fees pay for the whole business

WORK & ECONOMY / 02 | One working hour alone cannot determine whether a price is fair

03 | The hidden costs included in fees

Independent tradespeople and sole proprietors spend time on travel, quotations, sales and administration that is difficult to bill directly. They also need reserves for gaps between jobs.
They bear costs for vehicles, tools, consumables, insurance and more. Paid leave and benefits are not on the same terms as for employees, so invoiced amounts cannot be compared directly with an employee’s hourly wage.

04 | Components of a sustainable price

Materials + travel + tools and equipment + labor hours + overhead such as quotations and administration + provision for risk + profit needed to keep the business operating.
Actual prices reflect these costs plus the work, quality, supply and demand, and competition. Costs alone do not justify every high price.
The price includes the cost of continuing to the next job as well as today’s work.

Use AI to support estimates and pricing

WORK & ECONOMY / 03 | Organize costs and build a price that numbers can explain

05 | From intuition to evidence-based estimates

Organize past jobs, required labor hours, material costs, travel time, fixed costs, market rates and necessary profit. Use AI to help with calculations and preparing quotations.
AI output depends on the inputs. Check labor hours, costs and calculation results; the operator makes the final decision based on site conditions.

06 | What supports the ability to quote a price?

Practical skills and qualifications: evidence of the work and quality you can provide.
AI use: more efficient research, administration and quotation preparation.
Sales ability: connect directly with customers and explain value.
Financial reserves: preparation to turn down unprofitable jobs.
Understand “the price at which I can accept this job” and present it together with the reasons.

Toward tradespeople who can quote their prices

WORK & ECONOMY / 04 | Turn skills, AI, sales ability and financial reserves into business continuity

Four steps to a fair price

1. Make administration more efficient. Use AI to support research and quotations, freeing time for skills, customer service and construction quality.
2. Understand costs and profit. Check profitability including overhead and fluctuations in workload, not only working time.
3. Explain the price. Clarify the work, quality, scope and warranty to help customers understand the quotation.
4. Agree terms with the customer. Explain the price and deliverables and contract on terms both sides accept.

Pricing power is the ability to propose and negotiate your own price based on costs, risks and profit. The final transaction price is determined by agreement with the customer.
This material mainly assumes independent tradespeople and sole proprietors who bear their own business risks and expenses. Social insurance and benefits differ by employment status.